



Implementing Competitor Pricing Analysis for Parisian Beauty

Welcome to our presentation on implementing competitor pricing analysis for our esteemed Parisian beauty company. We'll explore strategies to maintain our competitive edge in the luxurious world of cosmetics.



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The Importance of Competitor Pricing Analysis

1 Market Positioning

Understand where our products stand in relation to competitors. This knowledge informs our pricing strategy.

2 Profit Maximisation

Optimal pricing ensures we capture the right market share. It balances competitiveness with profitability.

3 Customer Perception

Pricing influences how customers perceive our brand quality. It's crucial for our luxury image.

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Identifying Key Competitors

Direct Competitors

High-end French brands like Lancôme, Chanel, and Dior. They share our target market and price range.

Indirect Competitors

Mid-range brands like L'Oréal Paris and Bourjois. They may attract price-sensitive luxury consumers.

Emerging Threats

New, trendy brands like Glossier or Fenty Beauty. They're disrupting the traditional luxury market.

Data Collection Methods

1

Online Scraping

Use web scraping tools to gather competitor prices from e-commerce sites. This provides real-time data.

2

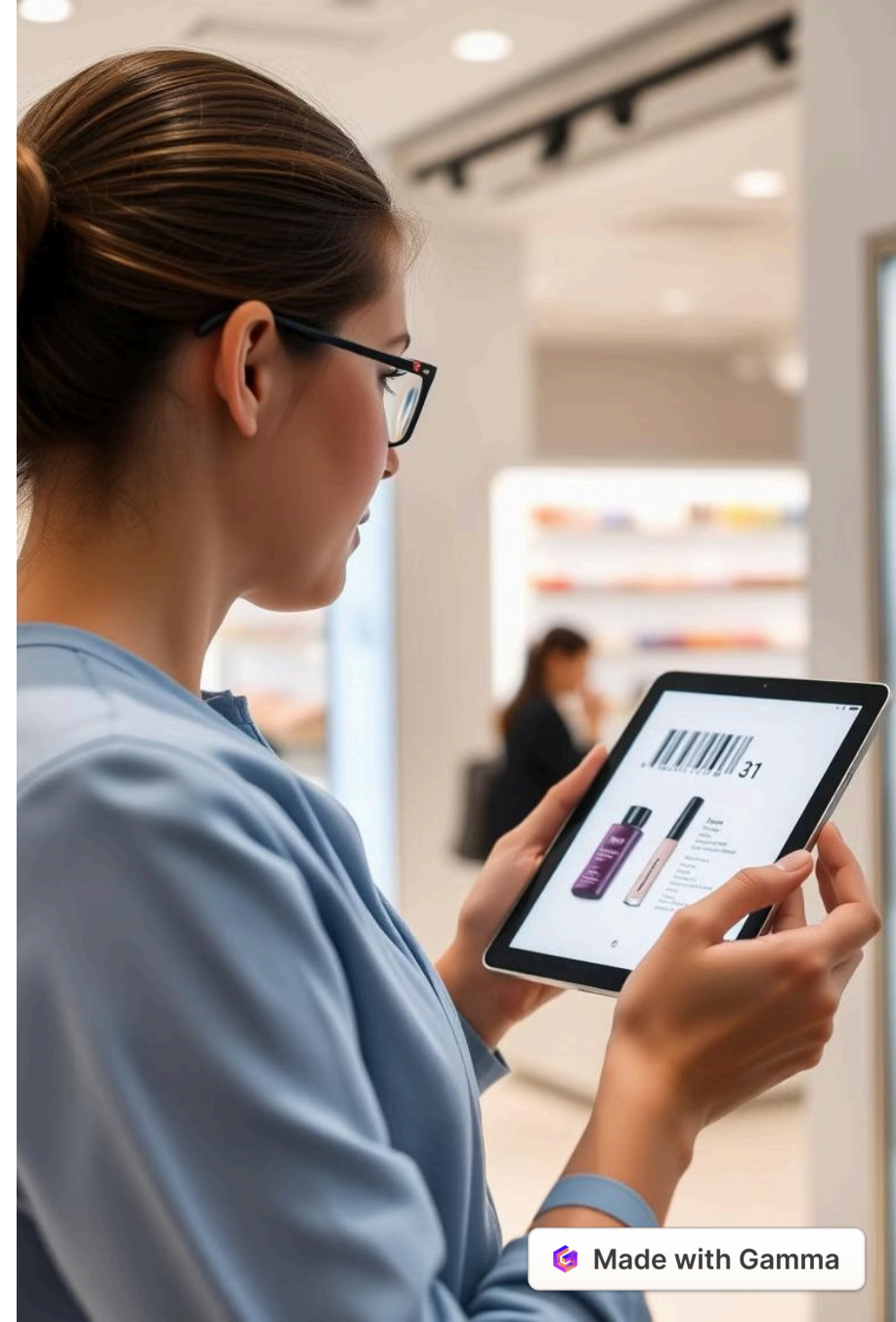
Mystery Shopping

Send representatives to physical stores. They collect in-store pricing and promotional information discreetly.

3

Market Research Reports

Purchase industry reports for broader market trends. These offer valuable context for our pricing strategy.





Tools for Analysis



Price Monitoring Software

Utilise specialised software like Prisync or Competera. These tools track competitor prices automatically.



Spreadsheet Analysis

Use Excel or Google Sheets for custom analysis. Create pivot tables and charts for visualising data.



Business Intelligence Tools

Implement Tableau or Power BI for advanced analytics. These create interactive dashboards for deeper insights.



Key Metrics to Track

Metric	Description	Importance
Price Index	Our price relative to market average	High
Price Elasticity	How demand changes with price	Medium
Promotional Frequency	How often competitors discount	Medium
Price Matching	Percentage of identical prices	Low

Implementing Dynamic Pricing

1

Real-Time Monitoring

Continuously track competitor prices. Use automated alerts for significant changes in the market.

2

Algorithmic Pricing

Develop algorithms to adjust prices automatically. Factor in competitor prices, demand, and our profit margins.

3

Human Oversight

Implement a review process for significant price changes. Ensure adjustments align with our brand strategy.





Challenges and Considerations

Data Accuracy

Ensure collected data is reliable and up-to-date. Implement validation processes to maintain data integrity.

Legal Compliance

Adhere to anti-trust laws and pricing regulations. Avoid practices that could be seen as price fixing.

Brand Perception

Balance competitive pricing with luxury image. Avoid frequent changes that might devalue the brand.

Competitor Retaliation

Prepare for potential aggressive responses from competitors. Develop strategies to mitigate price wars.



Measuring Success

1

Short-Term Metrics

Monitor daily sales volume and revenue. Track customer feedback on pricing changes.

2

Medium-Term Metrics

Analyse market share changes quarterly. Evaluate profitability of different product lines.

3

Long-Term Metrics

Assess brand perception annually. Measure customer lifetime value and loyalty rates.



Next Steps and Implementation

1

Team Assembly

Form a dedicated pricing team. Include members from marketing, finance, and data analytics departments.

2

Tool Selection

Choose and implement appropriate software tools. Ensure they integrate with our existing systems.

3

Training Programme

Develop a comprehensive training plan. Educate staff on new pricing strategies and tools.

4

Pilot Programme

Start with a small-scale implementation. Use learnings to refine the strategy before full rollout.